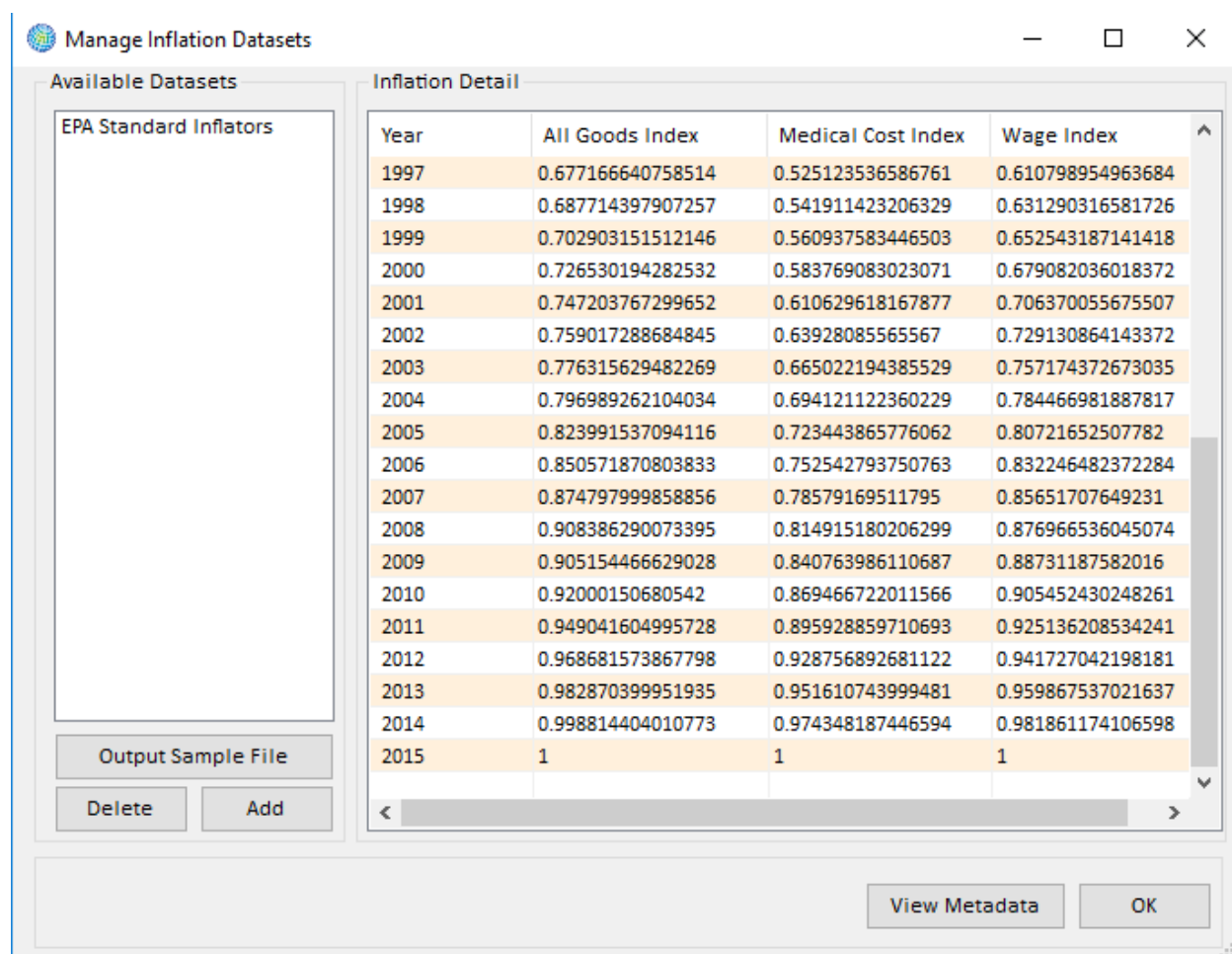




At this point you may add more data by clicking **Add**, or you may view and edit the Metadata for a specific dataset. This is done by selecting an **Available Dataset** and an entry in the **Inflation Detail** box and then clicking the **View Metadata** button. If you are satisfied with all import data, you can complete this step by clicking **OK**. Clicking **OK** takes you to the **Modify Datasets** window, where you should see an entry for the inflation dataset that you just loaded under the **Inflation Datasets** box.

4.1.8.2 Format for Inflation Data

Table 4-13a presents the variables that can be used in **Inflation Datasets**, and Table 4-13b presents a sample of what a dataset might look like. Note that if you are loading your own inflation data, you can use different names than the ones specified below. Instead of specifying 'AllGoodsIndex' you could have a variable called 'General Index' — this is fine as long as you make sure that your valuation functions properly reference these inflation variables.

Table 4-13a. Inflation Dataset Variables in U.S. Setup

Variable	Type	Required	Notes
Year	Integer	Yes	The year of the data. Note that this will typically only include historical estimates.
AllGoodsIndex	Integer	No	Example: All goods inflation index value.
MedicalCostIndex	Integer	No	Example: Medical cost inflation index value.
WageIndex	Integer	No	Example: Wage inflation index value.
<Variable Name>	Integer	No	Additional indices can be specified.

Table 4-13b. Sample Inflation Dataset

YEAR	AllGoodsIndex	MedicalCostIndex	WageIndex
2005	0.75	0.62	0.71
2006	0.79	0.67	0.74
2007	0.81	0.72	0.76
2008	0.83	0.77	0.78
2009	0.86	0.8	0.81
2010	0.88	0.84	0.83
2011	0.91	0.87	0.86
2012	0.93	0.89	0.89
2013	0.94	0.92	0.92
2014	0.96	0.96	0.96
2015	1	1	1
2016	1.02	1.04	1.03

4.1.9 Valuation Data

BenMAP-CE allows the valuation estimates to vary by **Endpoint Group**, **Endpoint**, and **Age** (note that multiple estimates may be provided for a particular combination). BenMAP-CE allows the valuation function to be quite detailed, and allows an uncertain parameter (A) with a user-specified distribution. You can modify the valuation function with a number of constant values (B, C, and D) that might represent an adjustment for inflation, income growth, income elasticity, or, say, purchasing power parity. Finally, BenMAP-CE has two fields to more clearly identify the valuation function (i.e., **Qualifier** and **Reference**).

When reviewing the economic literature to develop a valuation database or to simply add valuation functions to an existing database, it is important to have an economist assist. For an overview of valuation, see the Overview of Valuation section in Chapter 7: Aggregating, Pooling, and Valuing.

Fundamental Concept – Valuation

Valuation Functions are used by BenMAP-CE to estimate the economic values of changes in the incidence of health effects. In the context of human health benefits assessment, these functions help express society's preferences for avoiding certain health effects as an economic value (e.g., in U.S. dollars).

For morbidity endpoints, BenMAP-CE estimates monetized benefits by using either **Willingness to Pay (WTP)** or **Cost of Illness (COI)**-based valuation functions. **WTP** reflects the willingness of individuals to exchange money for a reduction in his or her risk of illness or death and is viewed by economists as the most complete and appropriate measure of the value of a risk reduction. **COI** estimates the value of a health effect based on the observed direct and indirect costs associated with that condition. Direct costs would include medical costs such as hospital stays and pharmaceutical costs, while indirect costs include impacts such as lost earnings from days unable to work. A COI-based estimate is expected to understate the true economic value of reductions in risk of a health effect because it does not include the value of avoided pain and suffering.

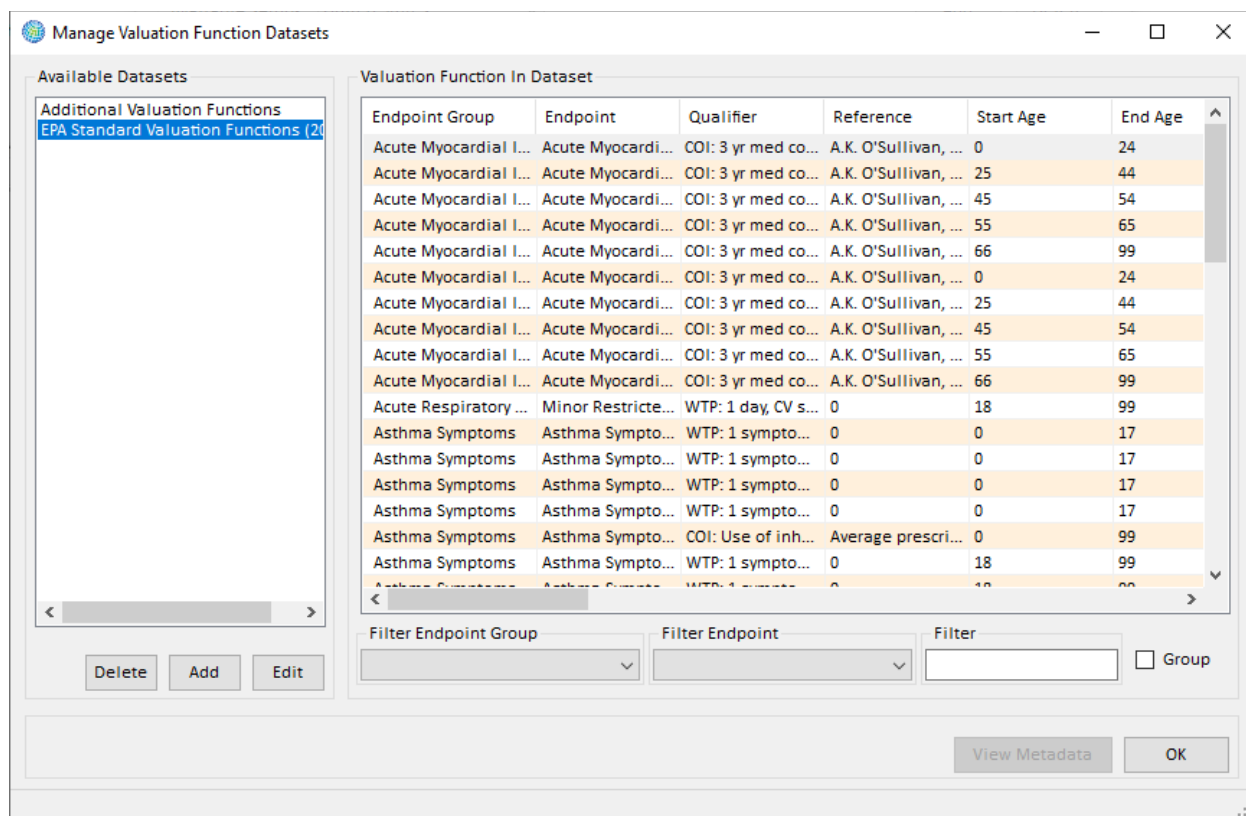
For mortality endpoints, BenMAP-CE generally estimates monetized benefits by using the **Value of Statistical Life (VSL)**, a WTP-based estimate derived from an extensive literature of observed or elicited estimates of the monetary value that an individual is willing to exchange for small reductions in his or her risk of death. It does **NOT** represent the value of the life of any one specified individual.

4.1.9.1 Add Valuation Data

To add valuation functions to BenMAP-CE, click on the **Manage** button below the **Valuation Datasets** box in the **Modify Datasets** window. The **Manage Valuation Function Datasets** window will appear.

Warning

In order to use a valuation function with a particular health incidence result, the **Endpoint Group** of the valuation function must match the **Endpoint Group** of the health incidence result exactly.



In this window you may **Add**, **Edit**, and **Delete** datasets. The section on the left under **Available Datasets** lists the valuation datasets that are currently in the setup database. The section on the right under the **Valuation Function In Dataset** lets you view the valuation factors in a selected dataset.

If the dataset is large, there are filters available to view a subset of the list by selecting a value from the **Filter Endpoint Group** and/or **Filter Endpoint** drop-down lists. Or, you can type a value in the **Filter** box to search for a particular word or phrase. You can also group data by **Endpoint Group** by selecting the *Group* option.

To add a dataset, click on **Add**. This will display the **Valuation Function Dataset Definition** window.